

RESEARCH ARTICLE

Consumer Preferences and the Impact of Halal Labeling on Beef Purchasing Decisions in Modern Market Segments

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ABSTRACT

Global demand for halal-certified products is rapidly increasing, underscoring the importance of understanding consumer preferences and the impact of halal labelling on purchasing decisions. This study examines the relationship between halal labelling, consumer trust, and purchasing behaviour of beef in modern markets in East Kalimantan, Indonesia. A quantitative survey was conducted with 400 respondents from diverse demographic backgrounds. The results show that 75% of consumers prefer halal-certified beef, with 80% perceiving halal labels as indicators of superior product quality and safety. Logistic regression analysis revealed that consumers who trust halal labels are 2.5 times more likely to purchase halal-certified beef compared to non-halal alternatives. Additionally, 70% of respondents demonstrated a good understanding of halal principles, while 30% showed limited knowledge, indicating the need for targeted educational efforts. This research emphasises the dual role of halal labelling as both a religious requirement and a marker of product integrity. The findings offer practical implications for producers, marketers, and policymakers to enhance halal product promotion strategies and consumer education, particularly targeting younger, health-conscious demographics. These insights contribute to strengthening halal product markets in culturally diverse regions.

KEYWORDS

Halal labeling; Consumer preferences; Beef purchasing decisions; Modern market segments

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1. Introduction

Consumer preferences in the global food industry have undergone significant transformations, particularly in terms of the growing demand for certified products that prioritise safety, quality, and ethical production practices (Riaz & Chaudry, 2021; Abdurrahman *et al.*, 2024). Among these, halal-certified products have gained considerable relevance not only among specific religious groups but also within broader consumer segments concerned with food integrity and traceability (Dashti *et al.*, 2024; Osman *et al.*, 2024). This trend highlights a shift toward a more informed, value-oriented consumer base that increasingly demands transparency in food sourcing and production processes. Similar patterns have been observed in East Kalimantan, Indonesia, where the diverse demographic composition of consumers has amplified expectations for product certification as an indicator of quality and reliability (Irsyadah, 2024; Hidayat, 2024). The certification of halal food products is no longer viewed solely as a religious obligation but rather as a comprehensive product assurance mechanism encompassing hygiene, safety, and ethical production practices across the food supply chain (Kausar *et al.*, 2021; Zain & Hassan, 2020). Several empirical studies have consistently demonstrated that halal certification serves as a reliable indicator of product safety and quality, positively influencing consumer purchasing behaviour across various demographic groups (Dashti *et al.*, 2024; Osman

et al., 2024). Furthermore, the presence of certification labels enhances consumer confidence, as it signals adherence to established processing and hygiene standards, particularly in markets where concerns regarding product quality and safety are paramount (Mollah *et al.*, 2020; Hilmi *et al.*, 2023).

Product labelling, particularly in the form of halal certification, plays a pivotal role in establishing consumer trust and fostering long-term brand loyalty in increasingly competitive retail markets (Hilmi *et al.*, 2023; Hassan & Rahman, 2020). Evidence suggests that certified products significantly increase consumer confidence, particularly among individuals with varying levels of product knowledge and food safety awareness (Mollah *et al.*, 2020; Nandala & Azrak, 2024). In addition, brands that actively communicate their compliance with certification standards tend to foster consumer loyalty and positive brand advocacy, reinforcing the strategic value of certification as a marketing and positioning tool (Zain & Hassan, 2020; Widiarta *et al.*, 2024). These findings underscore the importance of integrating product certification with clear, credible marketing strategies to meet the expectations of increasingly discerning consumer markets.

It is well-established that demographic variables such as age, education level, income, and health consciousness significantly shape consumer preferences for certified food products (Al-Qudah *et al.*, 2021; Esa *et al.*, 2024). Younger, more educated,

and health-conscious consumers are exceptionally responsive to product attributes associated with certification, often linking these labels with health benefits, sustainability, and ethical production practices (Abdurrahman *et al.*, 2024; Öztürk, 2022). In the context of East Kalimantan, the growth of modern retail infrastructure has amplified access to certified food products, prompting shifts in consumer purchasing habits and requiring differentiated marketing strategies that account for the preferences of diverse consumer segments (Ismail, 2025; Hidayat, 2024).

The role of halal labelling in beef purchasing decisions is multifaceted and shaped by complex interactions among consumer preferences, trust, and demographic factors. As the market for halal-certified products continues to expand, producers and retailers must comprehend these dynamics to capitalise on emerging opportunities. This study aims to investigate these factors within the context of East Kalimantan, providing empirical evidence that can inform the development of effective marketing strategies. By examining the relationship between halal labelling and consumer behaviour, this research seeks to offer insights that can better align market offerings with consumer expectations, ultimately contributing to the sustainable growth of the halal beef industry in the region.

2. Materials and Methods

The study focuses on consumers' preferences and the importance of halal labeling in decisions to buy beef in modern markets in East Kalimantan. Considering consumers' awareness of the existence of halal products, the research focuses on how halal labels influence purchases and demographic factors that could play a role in influencing consumer preferences. This would encompass a quantitative approach through survey design to enable the researcher to collect and analyze numerical data statistically.

2.1. Research Location

The study was conducted in 10 modern markets across East Kalimantan, Indonesia, selected for their geographical and socio-economic representativeness. These locations included urban centres such as Samarinda and Balikpapan, alongside suburban and rural areas, to capture a comprehensive range of consumer behaviours. By covering both densely and sparsely populated regions, the research aimed to examine how halal labelling influences purchasing decisions across diverse consumer segments. This location strategy enabled the analysis of how socio-economic variation, access to certified products, and regional cultural differences influence consumer preferences and purchasing patterns for halal-certified goods.

2.2. Respondent Sampling

The sample in this study consists of consumers who buy beef in modern markets in East Kalimantan. A stratified random sampling method was used to make representative research findings. This involves grouping respondents based on several demographic aspects such as age, gender, level of education, and income. This grouping is done to establish subgroups representative of different characteristics in the population of beef consumers. In this study, the number of respondents should be targeted at 400. This shall be based on the guidelines proposed by Ghasemi & Zahedi (2019), and a large enough sample size will guarantee the validity and reliability of the results.

2.3. Research Variables

This study examines the variables influencing consumer purchasing decisions regarding halal-certified beef products. The primary independent variable is halal labeling, measured by a halal certification logo on product packaging, to assess its impact on consumer preferences. Another independent variable is consumer knowledge of halal, which is gauged through a questionnaire designed to evaluate respondents' understanding of the halal concept and the standards applied to halal-certified products. The dependent variables include purchase decisions, measured by whether consumers choose to buy or not buy halal-certified beef, and consumer preferences for halal products, which reflect the tendency to select halal-labeled beef over non-halal options. The study also includes control variables, such as demographic factors (age, gender, education, income), which may influence purchasing decisions. These control variables help isolate external factors affecting consumer preferences, ensuring a more accurate analysis of how halal labeling influences consumer purchasing behavior.

2.4. Research Instruments

Data were collected through a structured questionnaire designed explicitly for this study, comprising three sections. The first section gathered demographic information, including respondents' age, gender, education, income, and beef purchase frequency, to provide a comprehensive consumer profile. The second section examined consumer preferences and purchasing decisions related to halal certification, including trust in halal labels and the impact of labelling on purchasing behaviour. The third section assessed respondents' knowledge of halal principles and labelling to capture variations in consumer understanding.

Prior to conducting the primary survey, a pilot test was conducted involving 30 respondents to evaluate the reliability and validity of the questionnaire. This process allowed for the refinement of ambiguous items and ensured alignment with the research objectives. Content validity was established by confirming the relevance of each item, while reliability was assessed using Cronbach's Alpha to measure internal consistency. The results indicated that the instrument was both valid and reliable, providing a strong foundation for subsequent data collection.

2.5. Data Collection Procedure

The data collection was phasic, where the information collected was to be pertinent, efficient, and exact. First was the preparation phase, where the researcher reviewed the literature to develop the research framework and the questionnaire formulation. This was critical in laying a proper foundation for the study and thus ensuring that all questions addressed a relevant research objective. The second stage was the actual implementation of the survey, where questionnaires were directly dispatched to the respondents in selected modern market locations in East Kalimantan. Such direct contact allowed for on-the-spot feedback and clarification of questions from the respondents, thereby raising the overall quality of the data collected. The online way of distributing the questionnaire is also used to reach more respondents who could not, for some reason, access the places where the questionnaires would be distributed.

Data was collected so that the questionnaires conformed to the developed criteria for validity and reliability from the pilot test. This broad-based approach toward data collection was adopted, facilitating the capture of a variety of responses and observations by consumers that, therefore, enhanced the study's

findings and recommendations.

2.6. Data Analysis

Data analysis was conducted using SPSS and AMOS software following data collection. Descriptive statistics were applied to summarise respondents' demographic characteristics and beef product preferences, identifying key consumer trends. Normality tests were performed to validate assumptions for subsequent analyses. Inferential analysis employed logistic regression to examine the relationships between independent variables, including halal labelling, and purchasing decisions.

Regression coefficients were used to determine the strength and direction of these associations, with hypothesis testing conducted at a 5% significance level ($p < 0.05$) to enable generalisation to the target population. This analytical framework provided empirical insights into the influence of halal labelling on consumer behaviour in East Kalimantan. The findings also offer practical implications for producers and marketers in designing market strategies aligned with consumer expectations and preferences.

3. Results and Discussion

3.1. Demographic Characteristics of Respondents

The demographic analysis of the respondents revealed that they were a diversified consumer base with a significant say in beef purchasing, as seen in Table 1.

Table 1. Demographic characteristics of respondents

Characteristics	Quantity (person)	Percentage (%)
Age (years)		
18 - 30	140	40
31 - 45	160	35
> 45	100	25
Total	400	100
Gender		
Male	180	45
Female	220	55
Total	400	100
Education level		
High School	80	20
Diploma	120	30
Bachelor	200	50
Total	400	100
Monthly Income		
< IDR 5,000,000	160	40
IDR 5,000,000 - 10,000,000	140	35
> IDR 10,000,000	100	25
Total	400	100

Of all the respondents, 55% were identified as females, while 45% were males. This slight trend of greater participation by females is essential because various studies have shown that women play a significant role in household food purchase decisions, particularly in regions with strong cultural attachments to halal practices. This is concurred with Mollah *et al.* (2020), who reasoned that generally, women are more concerned about the health and safety aspects of food, hence their preference for halal-certified product offerings.

3.2. Age Distribution

Among the age groups surveyed, 40% of respondents were between 18 and 30, 35% were between 31 and 45, and 25% were over 45. This distribution indicates a strong representation of younger consumers, specifically millennials and Generation Z, who are generally more informed and engaged with emerging food trends, including halal products. The younger generation's familiarity with digital media and ready access to infor-

mation has significantly enhanced their awareness of halal labeling, making them more receptive to halal certification (Zain & Hassan, 2020). According to Al-Qudah *et al.* (2021), younger consumers are more inclined to explore new products and adopt healthier dietary habits, influenced by their heightened awareness of food safety and ethical considerations.

3.3. Education Levels

Educational attainment among respondents varied, with 50% holding a bachelor's degree, suggesting a relatively educated consumer segment. Higher levels of education are frequently correlated with a more profound understanding of food-related issues, particularly the significance of halal in ensuring food safety and ethical sourcing. Educated buyers are usually more discriminating because this enlightened class of consumers has been demanding more transparency in terms of labeling their foods, and this class is an important treasure for any market since these are the people who determine market trends and raise the quality bar for any product (Widiarta *et al.*, 2024).

3.4. Income and Purchasing Power

The respondents' educational attainment varied, with 50% holding a bachelor's degree, highlighting the presence of a relatively well-educated segment within the consumer base. Higher educational levels are frequently linked to a more profound understanding of food-related concerns, especially regarding halal certification's importance in ensuring food safety and ethical sourcing practices. Consumers with higher education levels are typically more discerning in their purchasing decisions, as they are more likely to question the origins, production methods, and labeling practices of the products they buy. This educated demographic has increasingly demanded greater transparency in food labeling, particularly regarding halal certification, which reflects a desire for more ethical and informed consumption choices. This group of consumers plays a crucial role in shaping market dynamics, as their preferences and expectations often dictate broader consumer trends, forcing producers and retailers to elevate their product standards to meet these higher demands (Widiarta *et al.*, 2025).

3.5. Impact of Demographic Variations on Preferences

It is crucial to recognize that demographic variables significantly influence consumer preferences and purchasing decisions, particularly in the context of halal-certified beef products. As Al-Qudah *et al.* (2021) noted, age and education are often pivotal factors in shaping consumer preferences for halal products. Younger consumers, for instance, tend to be more open to halal options compared to older generations, who generally exhibit more traditional dietary habits and food preferences. This generational divide is of considerable importance, as it provides valuable insights for developing marketing strategies that cater to distinct demographic groups' specific needs and characteristics.

Higher levels of education are typically associated with a more critical approach to consumption, with educated consumers increasingly demanding a greater selection of halal-certified products (Abdul-Mutalib *et al.*, 2018). This tendency is often coupled with a growing interest in ethical consumption and sustainability trends becoming increasingly significant within the halal market context (Riaz & Chaudry, 2021). The interplay between demographic characteristics and consumer behavior underscores the need for producers and marketers to adapt their strategies in real time, ensuring alignment with the evol-